

TRAVEL ABROAD TAX-FREE

**THE GOVERNMENT'S
DECISION TO INCREASE
THE TAX COLLECTED AT
SOURCE ON SOME FOREIGN
PAYMENTS, INCLUDING
TOUR PACKAGES, TO 20
PER CENT HAS CAUSED
CONCERN. BUT HERE ARE
SOME HACKS THAT
CAN ENSURE THAT THE HIT
ISN'T TOO STEEP**

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WANT TO TRAVEL ABROAD? What if you have to shell out a few lakhs more upfront? Well, guess what, that's just what you may have to do if you wish to travel abroad in a few months.

This is a result of the increase in tax collected at source (TCS) on some foreign transactions, like foreign tour packages, to 20 per cent (from the current 5 per cent) that Union Finance Minister Nirmala Sitharaman announced in the Budget for 2023-24.

According to Amit Singhania, Partner at Shardul Amarchand Mangaldas & Co, the government appears to have calculated that a person travelling abroad must fall in the 20 per cent income-tax bracket, which means they must earn ₹12-15 lakh a year.

This comes amid a boom in foreign travel after two years of enforced isolation because of the pandemic. Consider this: Data from the Reserve Bank of India (RBI) shows that Indians have spent more than \$1 billion on foreign travel every month since June 2022. And a recent report by private insurer ACKO